

**CHAPTER 1**  
**INDUSTRIAL / SECTORAL SCENARIO**

## **HISTORY AND EVOLUTION OF THE SECTOR**

India's financial services sector boasts a rich and complex history, evolving from traditional, unorganized practices to a modern, technologically advanced system. The journey reflects a series of transformations influenced by economic, social, and political shifts.

### **Early Banking and Financial Practices:**

Before the British, banking in India existed in an informal, community-based manner, where wealthy individuals and temples held deposits and facilitated lending. The arrival of the British in the 17th century led to the decline of foreign banking structures but paved the way for modern institutions. The first bank of India, the Bank of Hindustan, was established in 1770. The British East India Company established the Presidency Banks: The Bank of Bengal (1809), the Bank of Bombay (1840), and the Bank of Madras (1843) to manage government finances and facilitate trade. These were merged to form the Imperial Bank of India in 1921, which later became the State Bank of India in 1955.

### **The Nationalization Era:**

After gaining independence in 1947, the Indian government sought to regulate the financial sector and promote financial inclusion. The Banking Regulation Act was passed in 1949, giving the Reserve Bank of India (RBI) more control over banks. The RBI itself was nationalized in 1949. In a significant move in 1969, 14 major private banks were nationalized to ensure that banking services reached rural and underserved areas, followed by 6 more in 1980. Nationalization aimed to boost public confidence, increase bank penetration, and ensure credit availability to priority sectors like agriculture and small-scale industries.

### **Rise of Technology:**

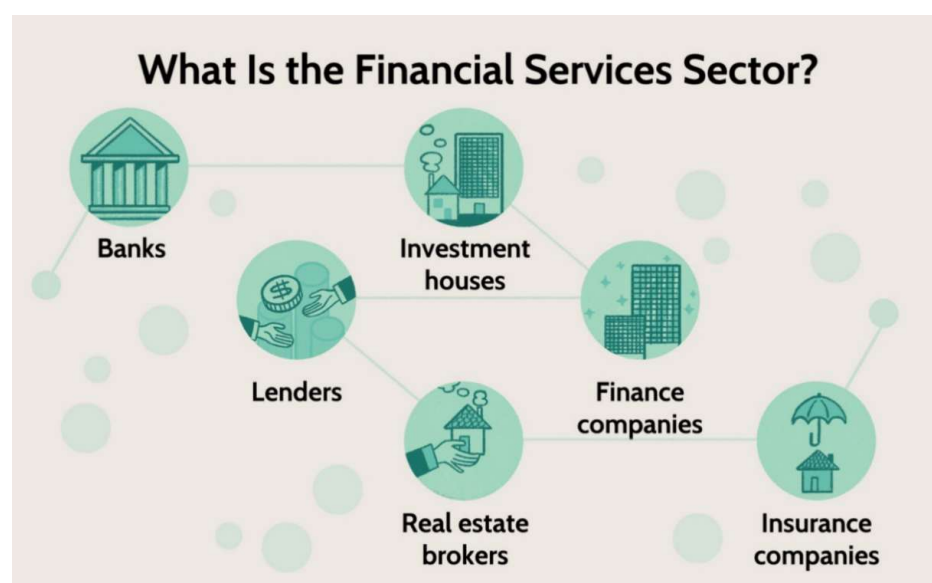
Online banking, ATMs, and electronic fund transfers revolutionized banking, offering convenience and efficiency. The National Stock Exchange (NSE) was established in 1992, introducing electronic trading and increasing market transparency. The Securities and Exchange Board of India (SEBI) was established in 1988 to regulate the securities market and protect investors. The insurance sector also saw significant reforms, with the establishment of the Insurance Regulatory and Development Authority of India (IRDAI) in 1999 and the opening up to private players.

## **Impact of FinTech and Digital Transformation:**

The rise of FinTech has further reshaped the Indian financial landscape. Initiatives like the Unified Payments Interface (UPI) have driven a digital payments revolution, promoting financial inclusion, especially for previously unbanked populations. Artificial intelligence, machine learning, and blockchain are being leveraged to enhance credit assessment, risk management, and overall financial operations. Robo-advisors are making wealth management more accessible, particularly for tech-savvy individuals. Neobanks, operating solely online, are providing a new dimension to banking, ICICI Direct also adds that RegTech is streamlining regulatory compliance. The government and the RBI have actively supported this digital transformation, leading to a surge in digital transactions and payment system advancements. Despite challenges related to cybersecurity and data privacy, the Indian financial sector, a key driver of economic growth, continues to embrace technology and innovate to achieve deeper financial inclusion and contribute to national development.

## OVERALL WORKING OF THE SECTOR

| Key functions of financial services      |                                               |                                             |
|------------------------------------------|-----------------------------------------------|---------------------------------------------|
| Function                                 | Description                                   | Examples                                    |
| <b>Financial Intermediary</b>            | Bridges the gap between savers and borrowers. | Banks lend deposits to borrowers.           |
| <b>Capital Mobilization</b>              | Raises funds for enterprises and governments. | IPOs, bonds, private placements.            |
| <b>Risk Management</b>                   | Helps manage financial risks.                 | Insurance, derivatives, hedging.            |
| <b>Facilitating Payments</b>             | Enables smooth financial transactions.        | UPI, NEFT, Visa/MasterCard, SWIFT           |
| <b>Wealth Management</b>                 | Assists in investment and portfolio advisory. | Mutual funds, pension plans, private equity |
| <b>Financial Planning &amp; Advisory</b> | Provides expert advice on managing finances.  | Financial consultants, robo-advisors        |



| <b>Main segments of the financial service sector</b> |                                                            |                              |
|------------------------------------------------------|------------------------------------------------------------|------------------------------|
| <b>Segment</b>                                       | <b>Description</b>                                         | <b>Examples</b>              |
| <b>Banking Services</b>                              | Includes retail, corporate, and investment banking.        | HDFC Bank, JP Morgan, UBS    |
| <b>Insurance Services</b>                            | Protects against financial loss or uncertainty.            | LIC, AIA, Allianz            |
| <b>Capital Markets</b>                               | Facilitates buying/selling of financial securities.        | NSE, NYSE, BSE, ETFs         |
| <b>Asset &amp; Wealth Management</b>                 | Manages portfolios on behalf of clients.                   | BlackRock, Vanguard, SBI MF  |
| <b>Fintech</b>                                       | Technology-driven financial solutions.                     | Paytm, Stripe, Robinhood     |
| <b>Non-Banking Financial Companies</b>               | Provide financial services without a full banking license. | Bajaj Finance, HDB Financial |
| <b>Advisory Services</b>                             | Guidance on M&A, investment, and restructuring.            | Deloitte, McKinsey, PwC      |

### **Supporting Infrastructure**

- **Payment Systems:** Facilitate domestic and international transactions (e.g., RTGS, SWIFT).
- **Credit Rating Agencies:** Assess creditworthiness (e.g., CRISIL, Moody's).
- **Market Infrastructure Institutions:** Include stock exchanges, depositories, and clearing houses.
- **Technology:** Enables automation, security, and wider access (e.g., mobile banking, AI, blockchain).

| <b>Regulation and Governance</b> |                     |                                                |
|----------------------------------|---------------------|------------------------------------------------|
| <b>Regulator</b>                 | <b>Jurisdiction</b> | <b>Role</b>                                    |
| <b>RBI</b>                       | India               | Monetary policy, banking regulation            |
| <b>SEBI</b>                      | India               | Regulates capital markets                      |
| <b>IRDAI</b>                     | India               | Oversees insurance sector                      |
| <b>BIS, IMF, FATF</b>            | Global              | Financial stability, AML/CFT, standard-setting |

### **Globalization and Financial Services**

- Cross-border investments, multinational banking, global payment systems, and international insurers contribute to a highly interconnected financial ecosystem.
- Events such as the 2008 global financial crisis and the COVID-19 economic shock highlight the vulnerabilities and interdependence of financial systems across borders.

## CHALLENGES FACED BY THE SECTOR IN INDIA

- Rising Bad Loans (NPAs)
  - Many banks, especially public ones, have too many unpaid loans.
  - This limits their ability to give new loans and weakens their finances.
- Low Financial Access & Awareness
  - A large part of the rural population still doesn't use formal banking.
  - Many people also lack basic understanding of financial products.
- Complicated Rules & Too Many Regulators
  - Banks and financial companies follow overlapping rules from multiple bodies.
  - This creates confusion, slows innovation, and increases costs.
- Cyber Threats and Online Frauds
  - As finance goes digital, cyberattacks and scams are rising fast.
  - This puts both money and trust at risk.
- Old Tech in Small Institutions
  - Many small banks and NBFCs still run on outdated technology.
  - This affects customer service, speed, and digital growth.
- NBFC Crisis and Funding Stress
  - Some NBFCs have poor risk management and face cash shortages.
  - The IL&FS crisis showed how risky this shadow banking can be.
- Hard for MSMEs to Get Loans
  - Small businesses often struggle to get credit from formal lenders.
  - Reasons include lack of records, collateral, and higher perceived risk.
- Slow Legal & Debt Recovery Process
  - Recovering bad loans through courts or IBC takes too long.
  - This discourages lenders from taking new risks.
- Shortage of Skilled Professionals
  - There's a lack of trained people in fintech, risk, and data analysis.
  - This limits growth in both traditional and new-age finance.
- Impact of Global Economic Shocks
  - Events like oil price hikes or global rate changes hit Indian markets.
  - They affect investor confidence and cause capital outflows.

## SWOC ANALYSIS

| Strengths                                                                                              | Weaknesses                                                                               |
|--------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| Robust Regulatory Framework – Strong governance by RBI, SEBI, IRDAI, etc.                              | Low Financial Literacy – Many people lack basic understanding of financial products.     |
| Expanding Consumer Base – Large population and increasing financial inclusion (e.g., Jan Dhan Yojana). | Urban-Rural Divide – Financial services are still limited in rural and remote areas.     |
| Technology Adoption – Growth in UPI, e-KYC, mobile banking, and digital platforms.                     | Fragmented Market – Too many small players reduce efficiency and create overlaps.        |
| Vibrant Capital Markets – Strong exchanges and growing retail participation.                           | Physical Dependency – Some regions still rely on offline, branch-based services.         |
| Diverse Ecosystem – Wide range of institutions: banks, NBFCs, AMCs, fintechs, insurers.                | Weak Grievance Redressal – Many institutions struggle with effective complaint handling. |





| <b>Opportunities</b>                                                                                     | <b>Challenges</b>                                                                             |
|----------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| Fintech Growth – AI, blockchain, robo-advisory, and digitization are creating innovative service models. | Cybersecurity Threats – Increased risk of hacking, phishing, and data breaches.               |
| Rising Middle Class – Higher income and savings drive demand for loans, insurance, and investments.      | Regulatory Complexity – Overlapping jurisdictions of multiple regulators can slow operations. |
| Government Support – Programs like Digital India, Startup India, and open banking boost sector growth.   | Economic Uncertainty – Inflation, global slowdowns, and rate changes impact growth.           |
| FDI & Global Partnerships – Foreign capital and tech collaboration enhance sector capabilities.          | High NPAs in Banking – Non-performing assets weaken confidence in the financial system.       |
| ESG & Green Finance – Growing demand for ethical, sustainable financial products.                        | Talent Shortage – Lack of skilled professionals in areas like analytics and compliance.       |

## MAJOR PLAYERS IN THE SECTOR

The financial services sector in India is a vibrant mix of traditional giants and tech-driven newcomers. Below is a focused look at the top 5 leading companies in each key segment, selected based on size, influence, innovation, or market share.

| BANKING SECTOR                   |                                                                                    |
|----------------------------------|------------------------------------------------------------------------------------|
| Bank Name                        | Notable Highlights                                                                 |
| <b>HDFC Bank</b>                 | India's largest private bank; strong in retail banking and digital platforms.      |
| <b>State Bank of India (SBI)</b> | Largest public sector bank; extensive rural reach and government banking mandates. |
| <b>ICICI Bank</b>                | Pioneer in tech-driven banking and consumer lending.                               |
| <b>Axis Bank</b>                 | Known for strong digital banking and diversified loan portfolio.                   |
| <b>Kotak Mahindra Bank</b>       | Lean, profitable private bank focused on HNIs and wealth management.               |

| INSURANCE SECTOR                        |                   |                                                            |
|-----------------------------------------|-------------------|------------------------------------------------------------|
| Insurer                                 | Type              | Key Strengths                                              |
| <b>Life Insurance Corporation (LIC)</b> | Life Insurance    | Government-backed; massive market share in life insurance. |
| <b>HDFC Life</b>                        | Life Insurance    | Strong in term insurance and digital distribution.         |
| <b>ICICI Lombard</b>                    | General Insurance | Leading in motor, travel, and health insurance.            |
| <b>SBI Life Insurance</b>               | Life Insurance    | Fast-growing private insurer with SBI backing.             |
| <b>New India Assurance</b>              | General Insurance | Largest public sector general insurance provider.          |

| <b>NON-BANKING FINANCIAL COMPANIES</b> |                                                                    |
|----------------------------------------|--------------------------------------------------------------------|
| <b>NBFC</b>                            | <b>Core Areas</b>                                                  |
| <b>Bajaj Finance Ltd</b>               | Retail finance, personal loans, and consumer durable financing.    |
| <b>Tata Capital</b>                    | Personal, business, and infrastructure finance.                    |
| <b>Mahindra Finance</b>                | Specialist in rural and vehicle financing.                         |
| <b>Shriram Finance</b>                 | Focus on commercial vehicle and SME financing.                     |
| <b>L&amp;T Finance</b>                 | Diversified portfolio: rural, housing, and infrastructure finance. |

| <b>MUTUAL FUNDS &amp; ASSEST MANAGEMENT COMPANIES ( AMC's )</b> |                                                                                |
|-----------------------------------------------------------------|--------------------------------------------------------------------------------|
| <b>AMC</b>                                                      | <b>Notable Highlights</b>                                                      |
| <b>SBI Mutual Fund</b>                                          | Backed by SBI; top in AUM with a strong SIP base.                              |
| <b>ICICI Prudential AMC</b>                                     | Strong performer in both debt and hybrid schemes.                              |
| <b>HDFC Asset Management</b>                                    | Known for consistent performance in large-cap equity schemes.                  |
| <b>Nippon India Mutual Fund</b>                                 | Wide retail distribution; focus on mid-cap strategies.                         |
| <b>UTI Asset Management</b>                                     | One of India's oldest AMCs; strong brand, especially in the government sector. |

| <b>FINTECH SECTOR</b> |                                                                 |
|-----------------------|-----------------------------------------------------------------|
| <b>Fintech Brand</b>  | <b>Specialty</b>                                                |
| <b>PhonePe</b>        | UPI leader; bill payments; digital gold investments.            |
| <b>Google Pay</b>     | Popular for seamless UPI transactions and user-friendly design. |
| <b>Paytm</b>          | Wallet, UPI, and integrated commerce ecosystem.                 |
| <b>Amazon Pay</b>     | UPI, mobile recharges, and e-commerce integration.              |
| <b>BharatPe</b>       | Specializes in merchant QR code payments and lending solutions. |

| <b>CAPITAL MARKETS AND BROKING</b> |                                 |                                                        |
|------------------------------------|---------------------------------|--------------------------------------------------------|
| <b>Segment</b>                     | <b>Company</b>                  | <b>Key Role</b>                                        |
| <b>Stock Exchange</b>              | NSE (National Stock Exchange)   | India's largest exchange by trading volume.            |
| <b>Stock Exchange</b>              | BSE (Bombay Stock Exchange)     | Asia's oldest stock exchange.                          |
| <b>Depository</b>                  | CDSL                            | Leading depository with a strong retail investor base. |
| <b>Depository</b>                  | NSDL                            | Institution-focused depository services provider.      |
| <b>Brokerage Firm</b>              | Zerodha, Jainam Broking Limited | Pioneered low-cost trading; top discount brokerage.    |

## GDP CONTRIBUTION BY THE SECTOR

The financial sector is vital for economic growth—it channels savings into investments, funds businesses, and helps individuals meet financial goals. It supports capital formation, job creation, and increased consumption. From business loans to insurance and mutual funds, each service drives the economy. India's shift from cash to digital finance has expanded access, boosting growth across regions. As India aims for a \$5 trillion economy, the financial sector is the fuel powering that journey.



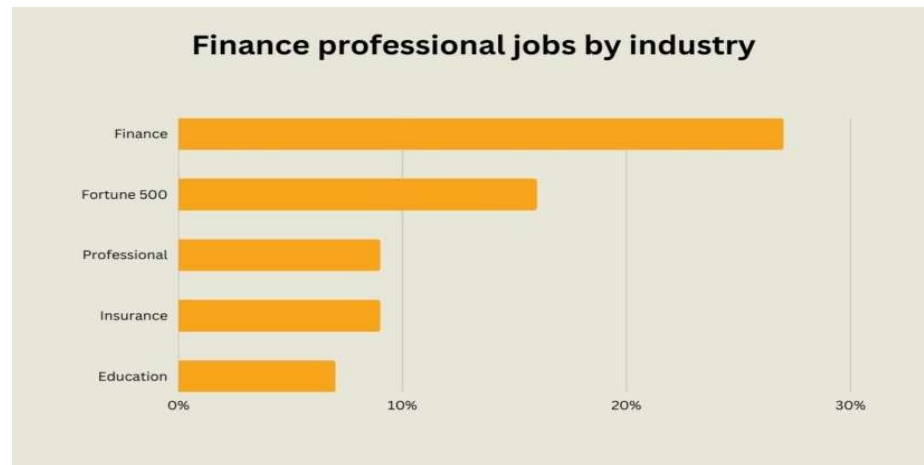
### Highlights & Key Stats (2023–24):

- Financial, real estate & professional services = 20% of GVA
- Core financial services = 6–7% of GDP
- Mutual Fund AUM = ₹50 lakh crore+
- Credit-to-GDP ratio = 60% (scope for growth)
- Market cap-to-GDP ratio = 95–100%
- Insurance penetration = 4.2% of GDP (mainly life insurance)
- UPI transactions = 12+ billion/month, up from a few million in 5 years.

## Role in Employment, Infrastructure & AI/ML:

The financial sector employs 6 million+ directly and supports jobs in real estate, retail, IT, and more. Every loan or investment fuels job creation.

AI/ML is reshaping operations—fraud detection, chatbots, loan underwriting, algo trading, and fast claim processing. This shift is creating roles in data science, cybersecurity, and digital finance, making firms more efficient and customer focused.



## Global Comparison – Finance Sector’s GDP Share:

- **India:** 20% (with real estate)
- **USA:** 22%
- **UK:** 25%
- **China:** 16%

## Contribution to Inclusive & Sustainable Growth:

UPI has revolutionized digital payments in India, enabling even street vendors and rural workers to accept QR-based payments. Its global integration (with countries like Singapore, UAE, and France) is making it a global public good. By offering fast, low-cost access, UPI has brought millions into the formal financial system, turning financial inclusion into a ground-level reality.

## **SOME FACTS AND FIGURES REGARDING THE SECTOR**

### **Sector Contribution & Role**

- Contributes 6.5% to India's GDP.
- Drives capital formation, economic development, and financial inclusion.
- Supports industrial growth, entrepreneurship, and consumer credit.

### **Employment & Industry Size**

- Employs over 6 million professionals across banking, insurance, NBFCs, fintech, and capital markets.
- Creates indirect jobs in IT, legal, and customer support.

### **Banking Sector**

- Total banking assets exceed ₹270 lakh crore.
- Gross credit crossed ₹150 lakh crore in FY 2023–24.
- NPAs declined to 3.2%, a 10-year low.
- India has 12 PSBs, 21 private banks, and 43 foreign banks.

### **Insurance Industry**

- Premiums collected: ₹12 lakh crore (FY 2023–24).
- Penetration: Life – 3.2% of GDP, Non-life – 1%.
- Growing at 15–20% CAGR, driven by tech and awareness.

## **NBFCs**

- 9,000+ NBFCs registered with RBI.
- Account for ~25% of retail credit.
- Focus on vehicle, MSME, personal, and housing finance.

## **FinTech Sector**

- 3rd largest fintech ecosystem globally.
- Valued at \$150 billion by 2025.
- UPI handled over 13,000 crore transactions worth ₹2,000+ lakh crore (FY2023–24).
- Digital lending projected to hit \$350 billion by 2025.

## **Mutual Funds & Capital Markets**

- AUM reached ₹54 lakh crore (June 2024).
- 15+ crore investor folios show rising retail participation.
- SIP inflow averages ₹18,000 crore/month.

## **Global Perspective**

- Global financial services market: \$28 trillion (2023).
- Major centers: New York, London, Hong Kong, Singapore.
- Top global banks: ICBC (China), JPMorgan (USA), HSBC (UK).

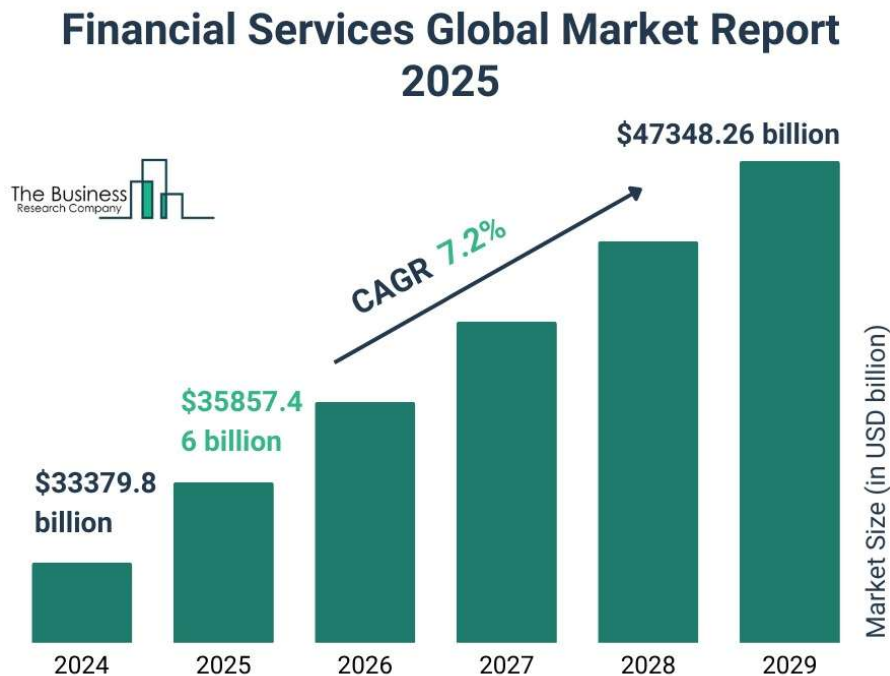
## **Key Trends**

- Adoption of AI, blockchain, open banking.
- Growth in ESG investing and green finance.
- Push for financial inclusion (e.g., Jan Dhan, PM SVANidhi).
- Rising focus on cybersecurity and digital regulation.



## GLOBAL PERSPECTIVE

The financial services sector plays a central role in driving global economic growth, stability, and innovation. Valued at over \$28 trillion, it spans across banking, insurance, investment, fintech, and capital markets. Major financial hubs such as New York, London, Hong Kong, and Singapore shape global capital flows, regulatory standards, and market practices.



In recent years, the sector has undergone rapid transformation, largely driven by digital innovation, cross-border fintech collaboration, and increased emphasis on sustainable finance and ESG (Environmental, Social, Governance) investing. Institutions worldwide are embracing AI, blockchain, and open banking, enhancing transparency, speed, and financial inclusion.

The sector also faces challenges like global market volatility, cybersecurity threats, and regulatory complexity, but it continues to adapt and evolve. Countries like India are emerging as key players in the global financial ecosystem, not only as fast-growing markets but also as exporters of digital financial infrastructure. As financial systems across the world become more interconnected, the focus is shifting towards building a resilient, inclusive, and innovation-led global financial landscape that serves both developed and emerging economies.

**CHAPTER 2**  
**COMPANY PROFILES**



|                               |                                                                                        |
|-------------------------------|----------------------------------------------------------------------------------------|
| <b>NAME OF THE COMPANY</b>    | Jainam Broking Limited                                                                 |
| <b>YEAR OF ESTABLISHMENT</b>  | 2003                                                                                   |
| <b>LOCATION (HEAD OFFICE)</b> | Jainam House, New Passport Office Road, Kargil Chowk, Piplod, Surat - 395007, Gujarat. |
| <b>SUBSIDERIES</b>            | Jainam Commodities Ltd, Titiksha Wealth, HO Growth                                     |

## **NAME & LOCATION OF ALL BRANCHES**

**This month they accomplished of opening 24 branches across India. And the target to complete 30 by next month.**

➤ **Gujarat -**

**1. Surat**

(Adajan, Athwagate, Bhatar, Ring Road, Mahidharpura, Majuragate, Katargam, Sagrampura, Dumas Road, Pal, Piplod, Rander Road, Varachha)

**2. Ahmedabad**

**3. Baroda**

**4. Bhavnagar**

**5. Navsari**

**6. Rajkot**

**7. Daman**

➤ **Maharashtra -**

**1. Mumbai**

(Borivali, Goregaon)

**2. Nagpur**

➤ **Hyderabad**

➤ **Kolkata**

➤ **Indore**

➤ **Bangalore**

➤ **Jaipur**

➤ **Siliguri**

➤ **Chennai**

## **BRIEF HISTORY**

Jainam Broking Limited began its journey in 2003–2004, founded by Dr. J C Shah, Mr. Bharat S Parikh, Mr. Chirag J Shah & Mr. Milan S Parikh establishing itself as a financial services provider with a strong commitment to customer-centric operations.

In 2006, the company became a member of the NSE (National Stock Exchange), allowing it to broaden its services in the equity market.

By 2007, Jainam launched its DP (Depository Participant) services, enhancing its offerings in securities management.

In 2009, it gained membership with both NSE and MCX, expanding its reach into equity derivatives and commodity trading.

The company continued to grow, introducing mobile trading in 2010 and soon after in 2011, launching in-house back-office software to ensure smooth and efficient operations.

By 2013, Jainam established a strong physical presence with new branches and an expanding customer base.

In 2016, the firm became a member of ICEX (Indian Commodity Exchange) and in 2017, it further enhanced customer experience by launching a mobile trading app (Jainam Trader).

The growth continued with the launch of in-house research reports in 2019 and membership with ICDEX in 2020.

From 2020–2021, Jainam received prestigious NSE & MCX awards, recognizing its excellence in financial services.

In 2022, the company was awarded the NSE Retail Leadership Award.

By 2023, Jainam had crossed 1 lakh+ active clients with over ₹10,000 crore in AUM (Assets Under Management), marking a major milestone.

Today, Jainam Broking Limited stands as a leading financial services provider in India, recognized for innovation, technology-driven services, and client trust.

## NAME OF FOUNDERS & PROMOTERS

**Co-founded** by Dr. J C Shah, Mr. Nipun Shah, Mr. Milan S Parikh

**Current Promoter:** Mr. Milan S Parikh

His vision towards his work is **“If there’s a way, I will find it. If there’s no way, I will create it”**

## STATEMENTS

### ❖ Mission Statement:

“To Provide World-class Services and Create Wealth for Everyone”

### ❖ Vision Statement:

“Becoming the Most Preferred Institution, Globally Known For Wealth Creation for Everyone Connected...”

## CORE VALUES

- Transparency
- Client - Centric approach
- Excellence and Innovation
- Teamwork and Collaboration
- Security and Reliability
- Integrity
- Respect



## **JAINAM's STRENGTH**

### **1. Comprehensive Financial Services**

→ Offers a wide range of financial solutions under one roof.

### **2. Expert Research Desk**

→ Backed by a highly qualified and skilled research team.

### **3. Extensive Network**

→ Strong and widespread network across clients and partners of Milan sir.

### **4. Accessible Leadership**

→ Directors are approachable, and employees can share new ideas through structured appointments.

### **5. Empowering Environment**

→ Surrounded by inspiring and influential professionals who foster growth and motivation.

## **ORGANIZATIONAL STRUCTURE**

- |                        |                                   |
|------------------------|-----------------------------------|
| 1. Management          | 7. Human Capital & Administration |
| 2. Finance             | 8. Research                       |
| 3. Compliance          | 9. Operations                     |
| 4. Technology          | 10. Tech-engineering              |
| 5. Growth              | 11. Customer Relationship         |
| 6. Business Automation |                                   |

## SWOT ANALYSIS OF JAINAM (JAL SHAH)

| Strengths                                                                                                                                                                                                                                       | Weaknesses                                                                                                                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| The company has a friendly and helpful work culture where teams support each other, helping solve client queries faster.                                                                                                                        | Using many different software tools in different departments can make it harder to share information smoothly and work together efficiently.             |
| They create their own software like Smart RMS for clients and staff, make policies when needed for the RMS team during margin issues on expiry days, and provide personalised services instead of generic ones, which helps keep clients loyal. | Important risk checks like banned scripts monitoring and margin adjustments still need a lot of manual work, which can slow things down in busy markets. |
| The Wealth Guardian Department uses digital portals like galaxy.jainam.in and ipo.jainam.in, giving clients easy access to different products and making their experience more convenient.                                                      | The company's income depends a lot on market activity, so earnings can go down when the market slows.                                                    |

| Opportunities                                                                                                                                                              | Threats                                                                                                                              |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| The large amount of data from systems like ERPNext, nPrime, and Convex can be used to make better predictions, manage risks, and give more personalised advice to clients. | Their own in-house systems can become outdated quickly if not upgraded regularly, as technology in the industry changes fast.        |
| Reaching out to investors in smaller cities with awareness programs and targeted marketing can help grow the client base.                                                  | Changes in SEBI or government rules, especially in derivatives and margin trading, can affect the company's operations and earnings. |
| Improving the mobile app's features and ease of use can attract more tech-friendly investors and compete better with big fintech companies.                                | Large brokers with advanced technology and low-cost services can take away market share and increase competition.                    |



## SWOT ANALYSIS OF JAINAM (KHUSHI JARIWALA)

| <b>Strengths</b>                             | <b>Weaknesses</b>                                  |
|----------------------------------------------|----------------------------------------------------|
| Experienced team with deep market knowledge. | Faces tough competition from major online brokers. |
| Strong financial health and low debt.        | Income depends heavily on market performance.      |
| Wide range of services under one roof.       | Still a small player with limited market reach.    |
| Safe and trustworthy with no major losses.   | Less recognized compared to industry leaders.      |

| <b>Opportunities</b>                                       | <b>Threats</b>                                                 |
|------------------------------------------------------------|----------------------------------------------------------------|
| Growing number of new investors in India.                  | Changing SEBI/government rules may impact operations.          |
| Potential to improve apps and digital platforms.           | Bigger players with advanced tech may capture the market.      |
| Scope to offer premium services like portfolio management. | Market crashes can reduce customer trading and overall income. |

## SWOT ANALYSIS OF JAINAM (VIVANG DALAL)

| Strengths                                                                                                | Weaknesses                                                                                      |
|----------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| Dominant in F&O (Non-retail): High-volume institutional traders drive core revenue.                      | Overdependence on F&O: Vulnerable to SEBI regulations and market volatility.                    |
| Expanding into Wealth & IPO Advisory: Diversifies revenue; captures client lifecycle.                    | Lower Retail Penetration: Lags behind app-first fintech in Tier I retail.                       |
| Proprietary Tech Stack: Self-built platforms for risk, trading, and IPO offer control and customization. | Geographic Concentration: Limited footprint outside western India.                              |
| Hybrid Asset Model: Combines transactional and advisory revenue.                                         | Scaling Tech Internally: In-house software requires continuous investment and talent retention. |

| Opportunities                                                                               | Threats                                                                               |
|---------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| Family Office/Structured Products: Upsell to existing HNIs; offer PMS, AIFs, ESOP advisory. | SEBI Regulations on Derivatives: Could sharply impact core F&O business.              |
| SME IPO Advisory: Gujarat/Maharashtra SMEs offer strong pipeline.                           | Tech-led Disintermediation: Fintechs may bypass traditional brokers.                  |
| Monetize Tech IP: License proprietary tools to smaller brokers.                             | Broking Consolidation: Larger players may erode institutional market share.           |
| Hybrid RIA Model: Compliant fee-based advisory can increase margins.                        | Talent & Ops Risk: In-house systems must meet compliance, speed, and UX expectations. |

**CHAPTER 3:**  
**FINANCE DEPARTMENT**

## DEPARTMENT OVERVIEW

The Finance Department serves as the financial control and strategic advisory centre of a company, managing capital allocation, liquidity, and financial risk. Key functions include FP&A, controllership, treasury, and tax, ensuring accurate reporting, compliance, and effective resource planning. It enables data-driven decision-making, supports budgeting and forecasting, and drives performance monitoring through KPIs and variance analysis. A well-structured Finance function ensures financial stability, operational efficiency, and informed strategic execution.

## THE BOOK KEEPING METHODS

During my internship in the Finance Department of Jainam Broking Limited, I gained practical exposure to how financial transactions are recorded, processed, and reported. The company adopts a structured and technology-enabled bookkeeping system in compliance with statutory standards.

### 1. Accounting Software and Tools Used

The company utilizes a combination of cloud-based and desktop applications to manage its financial and operational records:

#### - ERPNext by Frappe Technologies:

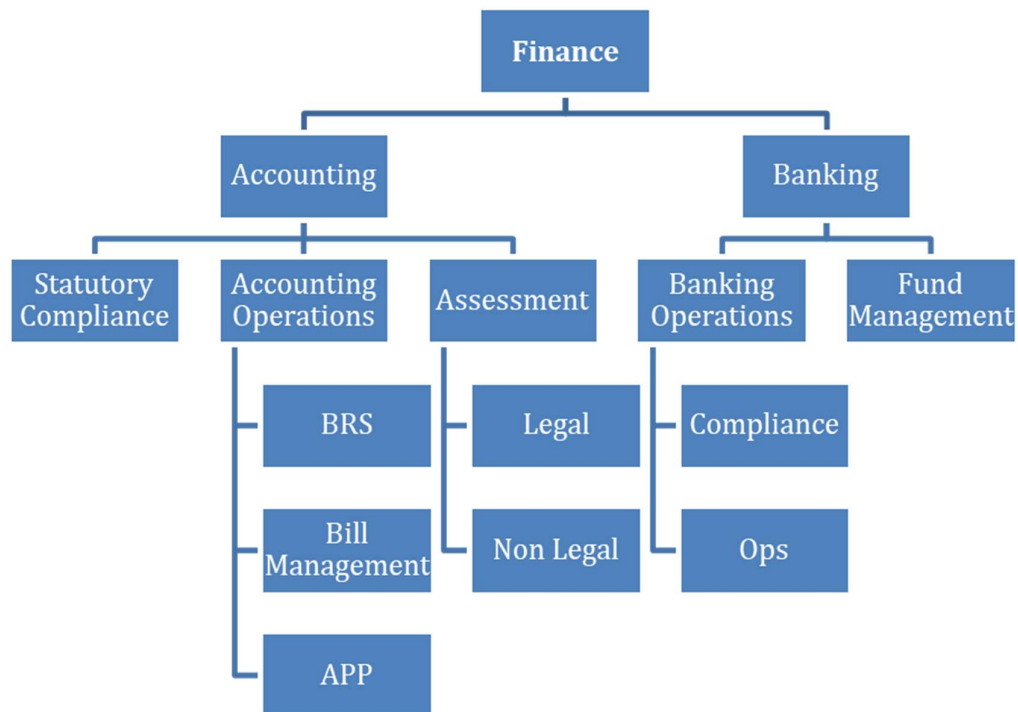
ERPNext is the central system for handling all core finance tasks—bookkeeping, AP/AR, bank reconciliation, and financial reporting. It includes built-in support for GST, TDS, and statutory compliance, automating tax calculations, filings, and audit trails. It provides real-time visibility into budgets, cash flow, and financial performance.

#### - TechExcel:

TechExcel manages financial workflows like capex approvals, IT spend requests, and procurement-related tickets. It ensures financial discipline by enforcing approval policies and tracking budget deviations. Approved workflows can be pushed into ERPNext for accounting entries and cost center allocation.

**- Microsoft Excel:**

Excel is used for building custom reports, forecasts, and financial models like cash flow, break-even, and investment analysis. It gives flexibility to work with ERPNext data for ad hoc analysis, scenario planning, and board-ready presentations. Ideal for quick calculations and strategic decision support. This software combination ensures real-time visibility, accuracy, and efficient handling of both statutory and managerial requirements.



## CORE LEDGERS AND REGISTERS MAINTAINED

To maintain a complete and compliant financial record, the Finance Department manages the following:

| Ledger/Register                  | Description                                                                                                                         |
|----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| <b>Sales</b>                     | Records all brokerage income and other revenue earned from clients. It helps track outstanding amounts receivable from each client. |
| <b>Purchase</b>                  | Maintains a record of all expenses and vendor invoices, including operational and administrative purchases.                         |
| <b>Debtors</b>                   | Contains details of all customers or clients who owe money to the company. It is used to monitor collections and overdue amounts.   |
| <b>Creditors</b>                 | Lists all suppliers, service providers, and parties to whom the company owes payments.                                              |
| <b>General Ledger</b>            | Acts as the central record that consolidates all financial accounts, summarizing the company's entire accounting data.              |
| <b>Journal Book</b>              | Used for recording transactions that do not fit directly into other ledgers, such as adjustments, provisions, or corrections.       |
| <b>Tax Registers</b>             | Tracks all tax-related expenses and liabilities, including GST, TDS, and other statutory dues.                                      |
| <b>Cash &amp; Bank</b>           | Tracks cash inflows/outflows and bank account transactions.                                                                         |
| <b>Margin Deposit Book</b>       | Records client margin deposits and related adjustments in compliance with stockbroking regulations.                                 |
| <b>Employee Benefit expenses</b> | Captures costs related to staff salaries, incentives, and welfare.                                                                  |

|                    |                                                                                                                                            |
|--------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Provisions</b>  | Maintains details of provisions made for anticipated expenses, such as audit fees, taxes, or doubtful debts.                               |
| <b>Loans</b>       | Maintains details of borrowed funds, repayments, and outstanding balances.                                                                 |
| <b>Investments</b> | Records details of the company's investments in shares, mutual funds, bonds or other instruments, including purchase dates and valuations. |

## **ROLE OF THE INDEPENDENT AUDITOR'S REPORT**

At the end of each financial year, the company engages an external statutory auditor [**Kothawade & Ladha Chartered Accountants**], whose responsibility is to express an opinion on whether the accounts are prepared in accordance with the applicable financial reporting frameworks and regulatory compliance standards.

### **Key features of the auditor's report include:**

- Verification of ledgers, supporting documents, and financial controls
- Opinion on whether the statements present a true and fair view
- Review of compliance with tax, statutory dues, and disclosures
- Identification of any material misstatements or audit qualifications

This audit process ensures financial transparency, investor confidence, and regulatory compliance.

## PROFIT & LOSS STATEMENT

### Consolidated Statement of Profit and Loss for the year ended March 31, 2024

| (₹ in Lakhs) |                                                            |          |                                  |                                  |
|--------------|------------------------------------------------------------|----------|----------------------------------|----------------------------------|
| Sr. No.      | Particulars                                                | Note No. | For the year ended on 31-03-2024 | For the year ended on 31-03-2023 |
| I            | Revenue from operations                                    |          |                                  |                                  |
|              | Interest Income                                            | 23       | 15,548.95                        | 21,433.41                        |
|              | Dividend Income                                            |          | 1,638.61                         | 91.18                            |
|              | Sales of Commodities                                       | 24       | 76.78                            | -                                |
|              | Fees and Commission Income                                 | 25       | 12,007.20                        | 20,681.01                        |
|              | Net Gain on Fair Value Changes                             | 26       | 2,24,989.13                      | 12,959.22                        |
|              | <b>Total Revenue from Operations</b>                       |          | <b>2,54,260.67</b>               | <b>55,164.82</b>                 |
| II           | Other Income                                               | 27       | 3,135.40                         | 74.84                            |
| III          | <b>Total Revenue (I + II)</b>                              |          | <b>2,57,396.07</b>               | <b>55,239.66</b>                 |
| IV           | Expenses                                                   |          |                                  |                                  |
|              | Purchases of Commodities                                   | 28       | 77.93                            | -                                |
|              | Changes in Inventories for Trade                           | 29       | 3.54                             | -                                |
|              | Finance Cost                                               | 30       | 19,780.48                        | 1,058.01                         |
|              | Operating Expenses                                         | 31       | 1,29,888.29                      | 21,008.13                        |
|              | Employee Benefits Expense                                  | 32       | 49,836.45                        | 7,840.25                         |
|              | Depreciation and amortization expense                      | 11(A)    | 419.28                           | 189.84                           |
|              | Other Expenses                                             | 33       | 5,550.01                         | 1,897.74                         |
|              | <b>Total Expense</b>                                       |          | <b>2,05,548.90</b>               | <b>32,891.98</b>                 |
| V            | <b>Profit Before Exceptional Items (III-IV)</b>            |          | <b>51,847.17</b>                 | <b>22,347.68</b>                 |
| VI           | Exceptional Items                                          |          | (1.48)                           | -                                |
| VII          | <b>Profit Before Tax (V-VI)</b>                            |          | <b>51,848.64</b>                 | <b>22,347.68</b>                 |
| VIII         | Tax Expense:                                               |          |                                  |                                  |
|              | (1) Current tax                                            | 48       | 11,383.89                        | 5,923.01                         |
|              | (2) Deferred tax                                           | 10       | 1,650.67                         | (191.37)                         |
|              | (3) Prior period tax adjustment                            |          | -                                | (5.97)                           |
|              | <b>Total Income Tax Expense</b>                            |          | <b>13,034.56</b>                 | <b>5,725.67</b>                  |
| IX           | <b>Profit for the year (VII-VIII)</b>                      |          | <b>38,814.09</b>                 | <b>16,622.01</b>                 |
| X            | Other Comprehensive Income                                 |          |                                  |                                  |
|              | Items that will not be reclassified to profit or loss      |          |                                  |                                  |
|              | (a) Re-measurement gains/(losses) on defined benefit plans |          | 84.68                            | 1.84                             |
|              | (b) Income tax relating to above items                     |          | (21.31)                          | (0.46)                           |
|              | - Foreign Currency Translation Reserve                     |          | 2.93                             | 8.81                             |
|              | <b>Other Comprehensive Income for the year</b>             |          | <b>66.30</b>                     | <b>10.18</b>                     |
|              | <b>Total Comprehensive Income for the year</b>             |          | <b>38,880.39</b>                 | <b>16,632.20</b>                 |
| XI           | Earnings per equity share                                  | 42       |                                  |                                  |
|              | Basic Earnings                                             |          | 117.23                           | 61.88                            |
|              | Diluted Earnings                                           |          | 100.97                           | 61.88                            |
|              | Nominal Value of Shares                                    |          | 10.00                            | 10.00                            |

Material accounting policies

2



# BALANCE SHEET

## Consolidated Balance Sheet as at March 31, 2024

|           |                                                                                          | (₹ in Lakhs) |                      |                      |
|-----------|------------------------------------------------------------------------------------------|--------------|----------------------|----------------------|
| S. No.    | Particulars                                                                              | Note         | As at March 31, 2024 | As at March 31, 2023 |
| <b>I</b>  | <b><u>ASSETS</u></b>                                                                     |              |                      |                      |
| <b>1</b>  | <b>Financial Assets</b>                                                                  |              |                      |                      |
| (a)       | Cash and Cash Equivalents                                                                | 3            | 5,181.17             | 754.79               |
| (b)       | Bank Balances other than cash and cash equivalents                                       | 4            | 1,59,038.07          | 1,80,464.84          |
| (c)       | Securities for Trade                                                                     | 5            | 3,60,319.51          | 13,504.29            |
| (d)       | Trade Receivables                                                                        | 6            | 20,110.83            | 8,648.84             |
| (e)       | Loans                                                                                    | 7            | 6,130.27             | 3,505.53             |
| (f)       | Investments                                                                              | 8            | 28,254.31            | 197.57               |
| (g)       | Other financial assets                                                                   | 9            | 1,028.16             | 8,167.43             |
|           |                                                                                          |              | <b>5,80,062.33</b>   | <b>2,15,243.29</b>   |
| <b>2.</b> | <b>Non - Financial Assets</b>                                                            |              |                      |                      |
| (a)       | Deferred Tax Assets (net)                                                                | 10           | -                    | 38.50                |
| (b)       | Property, Plant and Equipments                                                           | 11(A)        | 3,659.25             | 3,44.31              |
| (c)       | Right of use Assets                                                                      | 11(B)        | 16.01                | 16.33                |
| (d)       | Investment Property                                                                      | 12           | 13.32                | 13.32                |
| (e)       | Inventories                                                                              | 13           | 3.54                 | -                    |
| (f)       | Other non-financial assets                                                               | 14           | 2,802.75             | 1,617.11             |
|           |                                                                                          |              | <b>6,494.86</b>      | <b>2,529.56</b>      |
|           | <b>Total Assets</b>                                                                      |              | <b>5,86,557.19</b>   | <b>2,17,772.85</b>   |
| <b>II</b> | <b><u>LIABILITIES AND EQUITY</u></b>                                                     |              |                      |                      |
| <b>1.</b> | <b>Financial Liabilities</b>                                                             |              |                      |                      |
| (a)       | Trade Payables                                                                           |              |                      |                      |
|           | (A) Total outstanding dues of micro enterprises & small enterprises                      | 15           | 10.85                | 0.28                 |
|           | (B) Total outstanding dues of creditors other than micro enterprises & small enterprises | 15           | 2,06,616.56          | 1,30,759.88          |
| (b)       | Borrowings                                                                               | 16           | 1,78,934.75          | 23,861.80            |
| (c)       | Derivative Financial Instruments                                                         | 17           | 443.13               | 854.00               |
| (d)       | Other financial Liability                                                                | 18           | 1,835.34             | 1,750.01             |
|           |                                                                                          |              | <b>3,87,840.64</b>   | <b>1,57,225.98</b>   |
| <b>2.</b> | <b>Non - Financial Liabilities</b>                                                       |              |                      |                      |
| (a)       | Provisions                                                                               | 19           | 200.31               | 166.47               |
| (b)       | Deferred Tax Liabilities (net)                                                           | 10           | 1,633.48             | -                    |
| (c)       | Other Non-Financial Liabilities                                                          | 20           | 31,533.36            | 3,156.21             |
|           |                                                                                          |              | <b>33,367.15</b>     | <b>3,322.68</b>      |
| <b>3.</b> | <b>Equity</b>                                                                            |              |                      |                      |
| (a)       | Share Capital                                                                            | 21           | 4,474.85             | 2,699.89             |
| (b)       | Other Equity                                                                             | 22           | 1,60,874.55          | 54,524.30            |
|           |                                                                                          |              | <b>1,65,349.40</b>   | <b>57,224.19</b>     |
|           | <b>Total Liabilities and Equity</b>                                                      |              | <b>5,86,557.19</b>   | <b>2,17,772.85</b>   |

# CASH FLOW STATEMENT

## Consolidated Cash Flow Statement for the year ended March 31, 2024

| Sr. No. | Particulars                                                     | For the year ended on 31-03-2024 | For the year ended on 31-03-2023 |
|---------|-----------------------------------------------------------------|----------------------------------|----------------------------------|
| I.      | <b>CASH FLOW FROM OPERATING ACTIVITIES</b>                      |                                  |                                  |
|         | <b>NET PROFIT BEFORE TAX</b>                                    | <b>51,848.64</b>                 | <b>22,347.68</b>                 |
|         | <b>Add / (less) Adjustments:</b>                                |                                  |                                  |
|         | - Depreciation and amortisation                                 | 419.28                           | 189.84                           |
|         | - Actuarial gain/(Loss) from defined benefit obligation         | 63.37                            |                                  |
|         | - Dividend Income                                               | (1,638.61)                       | (91.18)                          |
|         | - Interest Income                                               | (15,548.95)                      | (21,433.41)                      |
|         | - Interest expense                                              | 5,342.44                         | 569.97                           |
|         | - Foreign Currency Translation Reserve                          | 2.93                             | -                                |
|         | - Gain on sale of Investment in Subsidiary                      | -                                | (5.92)                           |
|         | - Bank Guarantee and Commission Charges                         | 1,795.54                         | 1,250.55                         |
|         | - Bad and Doubtful Debts                                        | -                                | 52.47                            |
|         | <b>Changes in working capital</b>                               |                                  |                                  |
|         | - (Increase) / Decrease in Securities for Trade                 | (3,46,815.23)                    | (5,286.76)                       |
|         | - (Increase) / Decrease in Inventories                          | (3.54)                           | -                                |
|         | - (Increase) / Decrease in Trade Receivables                    | (11,461.99)                      | 7,230.72                         |
|         | - (Increase) in Short Term Loans & Advances                     | (2,624.74)                       | (1,337.22)                       |
|         | - (Increase) in Other Financial Assets                          | 7,139.27                         | (5,699.94)                       |
|         | - (Increase) in Other Non Financial Assets                      | (1,185.65)                       | (149.37)                         |
|         | - Increase in Trade Payables                                    | 75,867.25                        | 57,553.40                        |
|         | - Increase in Provisions                                        | 33.83                            | 46.34                            |
|         | - (Decrease) in Other financial Liabilities                     | 85.33                            | (721.82)                         |
|         | - Increase / (Decrease) in Other Non financial Liabilities      | 28,377.16                        | (388.87)                         |
|         | <b>Operating profit before working capital changes</b>          | <b>(2,08,303.67)</b>             | <b>54,126.48</b>                 |
|         | Less: Taxes Paid                                                | (11,362.58)                      | (5,903.15)                       |
|         | <b>Net cash generated from operating activities</b>             | <b>(2,19,666.25)</b>             | <b>48,223.33</b>                 |
| II.     | <b>CASH FLOW FROM INVESTING ACTIVITIES</b>                      |                                  |                                  |
|         | Purchase of Property, Plant and Equipments (Net)                | (3,233.90)                       | (356.89)                         |
|         | Investment in Treasure Bills                                    | (28,056.74)                      | (197.56)                         |
|         | Dividend Income                                                 | 1,638.61                         | 91.18                            |
|         | Interest Received                                               | 15,548.95                        | 21,433.41                        |
|         | <b>Net cash generated from / (used in) investing activities</b> | <b>(14,103.07)</b>               | <b>20,970.15</b>                 |
| III.    | <b>CASH FLOW FROM FINANCING ACTIVITIES</b>                      |                                  |                                  |
|         | Increase / (Decrease) in Short Term Borrowings                  | 1,55,072.95                      | 23,861.80                        |
|         | Increase / (Decrease) in Derivative Financial Instruments       | (410.87)                         | (4,043.60)                       |
|         | Proceeds from issue of shares (including securities premium)    | 70,008.55                        | 2,550.00                         |
|         | Interest Paid                                                   | (5,342.44)                       | (569.97)                         |
|         | Bank Guarantee and commission charges paid                      | (1,795.54)                       | (1,250.55)                       |
|         | Dividend Paid                                                   | (763.72)                         | (539.98)                         |
|         | <b>Net cash generated from / (used in) financing activities</b> | <b>2,16,768.92</b>               | <b>20,007.71</b>                 |
|         | <b>Net increase in cash and cash equivalents</b>                | <b>(17,000.40)</b>               | <b>89,201.19</b>                 |
|         | <b>Cash and cash equivalents</b>                                |                                  |                                  |
|         | - Opening balance                                               | 1,81,219.64                      | 92,018.45                        |
|         | - Closing balance                                               | 1,64,219.24                      | 1,81,219.64                      |
|         | <b>Net increase as disclosed above</b>                          | <b>(17,000.40)</b>               | <b>89,201.19</b>                 |

**Note:**

## FINANCIAL RATIOS (IN LAKHS)

### ➤ Liquidity Ratios

$$\begin{aligned} 1. \text{ Current Ratio} &= \text{Current Asset} / \text{Current Liabilities} \\ &= 5,79,553.8 / 3,86,005.29 \\ &= 1.5 \end{aligned}$$

**Interpretation:** A ratio of 1.5 indicates Jainam can cover its short-term obligations, though liquidity must be watched closely.

### ➤ Leverage Ratios

$$\begin{aligned} 2. \text{ Debt-to-Equity} &= \text{Total Liabilities} / \text{Equity} \\ &= 4,21,207.79 / 1,65,349.40 \\ &= 2.5 \end{aligned}$$

**Interpretation:** For every ₹1 of equity, Jainam uses ₹2.55 of debt. High leverage indicates aggressive financing, which can magnify profits but also risk

$$\begin{aligned} 3. \text{ Interest Coverage} &= \text{EBIT} / \text{Finance Cost} \\ &= 71,627.65 / 19,780.48 \\ &= 3.6 \end{aligned}$$

**Interpretation:** Jainam earns over 10x its interest expense, strong ability to service debt.

$$\begin{aligned} 4. \text{ ROCE} &= \text{EBIT} / \text{Capital Employed} * 100 \\ &= 71,627.65 / 2,00,551.9 * 100 \\ &= 36 \% \end{aligned}$$

**Interpretation:** Jainam delivers a strong 36% ROCE, indicating highly efficient use of its capital despite high leverage.

➤ **Profitability Ratios**

$$\begin{aligned} 5. \text{ Net Profit Margin} &= \text{Net Profit (PAT)} / \text{Revenue} * 100 \\ &= 38,814.09 / 2,57,396.07 * 100 \\ &= \mathbf{15 \%} \end{aligned}$$

**Interpretation:** Jainam achieves a 15.1% Net Profit Margin, reflecting strong profitability in its financial services operations.

$$\begin{aligned} 6. \text{ ROA} &= \text{Net Profit (PAT)} / \text{Total Assets} * 100 \\ &= 38,814.09 / 5,86,557.19 * 100 \\ &= \mathbf{6.6 \%} \end{aligned}$$

**Interpretation:** Jainam records a 6.6% ROA, showing moderate efficiency in generating profits from its asset base.

$$\begin{aligned} 7. \text{ ROE} &= \text{Net Profit (PAT)} / \text{Shareholders' Equity} * 100 \\ &= 38,814.09 / 1,65,349.40 * 100 \\ &= \mathbf{23.5 \%} \end{aligned}$$

**Interpretation:** Jainam Broking delivers a strong 23.5% ROE, indicating excellent returns for its shareholders.

$$\begin{aligned} 8. \text{ Operating Profit Margin} &= \text{EBIT} / \text{Revenue} * 100 \\ &= 71,627.65 / 2,57,396.07 * 100 \\ &= \mathbf{28 \%} \end{aligned}$$

**Interpretation:** Jainam posts a 27.8% Operating Profit Margin, showing strong operational efficiency before interest and tax.

$$9. \text{ EPS} = \mathbf{Rs. 117.23}$$

**Interpretation:** Jainam posts an earnings per share of Rs. 117.23 (based on official number of outstanding shares presented in Annual report 2023-24)

➤ **Efficiency Ratios**

$$\begin{aligned}\text{10. Debtors Turnover Ratio} &= \text{Revenue} / \text{Avg. Debtors} \\ &= 2,57,396.07 / 14,379.84 \\ &= \mathbf{18 \text{ times}}\end{aligned}$$

**Interpretation:** Jainam collects its dues about 18 times a year, showing excellent credit management.

$$\begin{aligned}\text{11. Average Collection Period} &= 365 / \text{Debtors Turnover} \\ &= 365 / 18 \\ &= \mathbf{20 \text{ days}}\end{aligned}$$

**Interpretation:** Jainam takes 20 days on average to recover receivables, reflecting strong efficiency in collections.

## **FY2023–24 FINANCIAL ANALYSIS**

Jainam Broking had a standout year in FY24, with consolidated revenue climbing to ₹2,57,396.07 lakh and profit after tax touching ₹38,814.09 lakh. Shareholder returns were impressive, with ROE around 23.5% and ROCE near 35.7%. The jump was driven by higher trading activity and notable fair-value gains on marketable securities. Operating profit came in at ₹71,627.65 lakh, translating into healthy margins ~27.8% at the operating level and ~15.1% at the net level.

The balance sheet saw a big step-up in scale, with total assets at ₹5,86,557.19 lakh, up sharply from last year. A large chunk of this growth came from securities held for trade (₹3,60,319 lakh). Total liabilities rose to ₹4,21,207.79 lakh, taking the Debt-to-Equity ratio to roughly 2.55x. Liquidity is decent with a current ratio of 1.50, but the heavy concentration in trading assets naturally adds to earnings volatility. ROA stands at ~6.6%, reflecting the capital-intensive structure of the business.

One watchpoint is cash flow. Despite the strong profits, operating cash flow was negative at about ₹2,19,666 lakh, mainly due to higher securities purchases and working-capital movements. The shortfall was covered by financing inflows (₹2,16,769 lakh) from borrowings and equity issuance. While investment spending was modest (₹14,103 lakh), the reliance on external capital over internally generated cash is a point to monitor.

Operationally, the company runs tight — receivables turnover is strong (~18x, with an average collection of ~20 days) and costs are well managed. However, the combination of high leverage, market-driven income, and interest-rate exposure means results can swing quickly if market or funding conditions change.

### **Conclusion:**

FY24 was a year of strong growth and profitability for Jainam Broking, delivering impressive returns to shareholders. At the same time, the business is carrying higher leverage and depends heavily on external funding. The next challenge will be to strengthen cash-flow resilience and keep market exposure in check, so performance remains solid even when conditions aren't as favourable.

## **CHAPTER 4**

### **MARKETING & SALES DEPARTMENT**

## **LIST OF PRODUCTS & SERVICES**

### **Products:**

- ✧ J Lite
- ✧ J Plus
- ✧ API
- ✧ Strike
- ✧ Smart RMS
- ✧ Smart Greek
- ✧ Smart Delta

### **Services:**

- ✧ Stocks
- ✧ Margin Trading Facility
- ✧ Option Trading
- ✧ Future trading
- ✧ Mutual Funds
- ✧ Debt Products
- ✧ NFO
- ✧ IP



## **CSR ACTIVITIES**

At Jainam Broking Limited, their Corporate Social Responsibility (CSR) initiatives are aligned with their vision and mission, aiming to create a positive impact not only in areas around their offices but also across other regions, depending on the needs of the community. Guided by the Companies Act, 2013 and the CSR Rules, their activities focus on the following key areas:

### **1. Promoting Healthcare**

- Organizing regular health and blood donation camps at various locations to provide free or minimal-cost medical services.
- Partnering with organizations conducting medical camps in rural and urban areas, contributing by donating medicines and bearing related costs to support needy patients.
- Allocating CSR funds for COVID-19 relief efforts.

### **2. Eradicating Hunger, Poverty, and Malnutrition**

- Providing food, nutrition, clothing, and safe drinking water to underprivileged communities.
- Every Saturday, distributing fruits to the needy.
- Offering shelter for the homeless.
- Contributing to the Swachh Bharat Kosh for sanitation promotion and engaging in slum area development.

### **3. Promoting Education**

- Supporting schools and institutions with infrastructure improvements such as toilets, water facilities, and fans.
- Distributing stationery and providing financial assistance for children's education.
- Arranging vocational training for children, women, the elderly, and differently-abled individuals.

#### **4. Promoting Gender Equality and Empowering Women**

- Establishing homes and hostels for women and orphans.
- Setting up old-age homes and day-care centers for senior citizens.

#### **5. Environmental Protection**

- Conserving natural resources and maintaining soil, air, and water quality.
- Protecting flora, fauna, and promoting animal welfare.
- Conducting tree plantation drives in schools, colleges, villages, and public spaces.
- Contributing to the Clean Ganga Fund for river rejuvenation.

#### **6. Rural Development Projects**

- Initiatives aimed at improving rural infrastructure and livelihoods.

#### **7. Technology & Innovation Support**

- Providing funds to technology incubators within approved academic institutions.

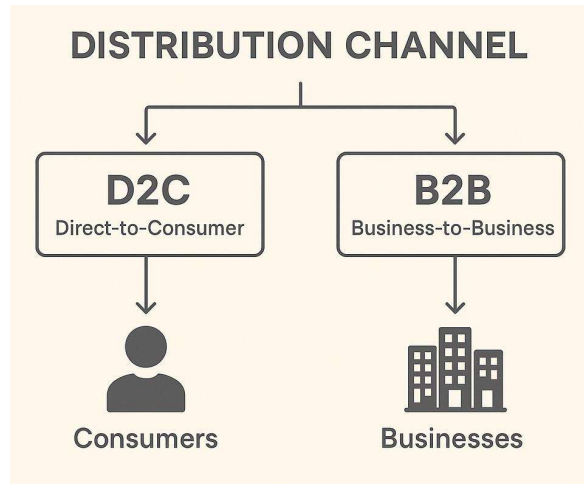
#### **8. Other Community Welfare Initiatives**

- Preserving national heritage, promoting libraries, traditional arts, and handicrafts.
- Supporting rural, national, Paralympic, and Olympic sports.
- Assisting armed forces veterans, war widows, and their dependents.
- Contributing to the Prime Minister's Relief Funds (including PM CARES) for socio-economic development, disaster relief, and support to disadvantaged groups.

Through these diverse initiatives, Jainam Broking Limited strives to bring sustainable change, promote inclusivity, and uplift communities across different sectors.

## DISTRIBUTION CHANNEL

They cater their financial services through Direct-client acquisition channel and Sub-broker/channel partner.



### D2C (Direct-to-Consumer) Channel:

In the D2C model, Jainam directly connects with individual investors without involving any intermediaries. This is done through its own digital platforms like the Jainam mobile app, website, and physical investor service branches.

Customers can open Demat and trading accounts, and invest in equities, derivatives, commodities, mutual funds, or IPOs directly with Jainam. This approach allows Jainam to build strong client relationships, maintain full control over the customer experience, and achieve better profit margins since there are no middlemen.

### B2B (Business-to-Business) Channel:

In the B2B model, Jainam collaborates with other businesses or partners instead of only serving clients directly. This includes sub-brokers, franchise partners, and independent financial advisors who use Jainam's trading platforms and back-end systems to serve their own clients.

Jainam provides the technology, research support, and operational assistance, while the partners focus on client acquisition and servicing. This channel helps Jainam expand its market reach rapidly through partner networks, although revenue is shared with these partners.

In Jainam Broking Limited's B2B distribution structure, Sub-Brokers operate as independent trading groups who utilize Jainam's infrastructure to participate in the capital markets. Their core activity revolves around proprietary trading in the Equity and Futures & Options (F&O) derivatives segments.

Each sub-broker entity may have a network of dealers under them, who also actively trade in the market. Jainam facilitates their operations by providing:

- Trading Platforms & Technology Infrastructure
- Margin Facilities to support trading positions

The margin provided to sub-brokers is extended on agreed terms, and Jainam earns interest income on the margin funding availed by these sub-brokers. This arrangement enables sub-brokers to expand their trading capabilities while allowing Jainam to strengthen its volumes and revenue streams from both brokerage and interest earnings.

## PROMOTIONAL TOOLS

These are the following promotional tools that are used by Jainam to promote awareness about the financial markets and their benefits as well as risk, with their products.

- **ATL & BTL Marketing:**

Jainam Broking Limited uses both Above the Line (ATL) and Below the Line (BTL) marketing strategies. ATL includes broad-reach campaigns to create brand awareness. BTL involves targeted activities like events, seminars, podcast, and personal selling to connect directly with potential clients and generate leads.

- **Digital Media:**

Engaging clients and prospects through platforms like Instagram, Facebook, LinkedIn, and YouTube to build brand awareness and trust.

- **SEO for Organic Growth:**

Optimizing website content so Jainam appears higher in Google search results, attracting potential clients without paid ads.

- **Performance Marketing:**

Running paid campaigns (Google Ads, social media ads) focused on measurable results like lead generation and account openings.

- **Branding Activities:**

Strengthening brand image through podcasts, in-house events, workshops, and other initiatives that connect with clients.



# **TYPES OF MARKETING**

## **1. Promotional Marketing:**

Promotional marketing involves activities and strategies used to create awareness, attract new customers, and encourage existing clients to engage more with the company's services. This include:

- Discounted Brokerage Offers to attract new clients in the DIY (discount broking) segment.
- Referral Programs where existing customers earn rewards for bringing in new clients.
- Investor Awareness Campaigns such as free webinars, seminars, or workshops to educate people about stock market investing.
- The goal is to stimulate short-term engagement while building long-term customer relationships.

## **2. Content Marketing:**

Content marketing focuses on creating and sharing valuable, relevant, and educational content to attract and retain clients. This include:

- Market Insights & Research Reports to help clients make informed investment decisions.
- Educational Blogs & Articles on topics like equities, derivatives, and portfolio management.
- Video Content such as market updates, investment tips, or product explainers on platforms like YouTube and Instagram.
- Social Media Posts that simplify complex financial concepts for beginners.
- The aim is to position Jainam Broking as a trusted advisor, enhance brand credibility, and encourage client loyalty through knowledge-sharing.

## PRICING METHODS

At Jainam Broking Limited, they offer two distinct pricing models designed to cater to different investor preferences — from self-managed traders to clients seeking a premium, service-oriented experience.



### 1. DIY Segment (Discount Broking):

This model is ideal for cost-conscious and self-directed investors who prefer to execute trades independently via our trading platforms.

Charges: ₹18 per order (transaction) for Equity Delivery, Equity/Future Intraday, and Options.

Additional Costs: Exchange charges payable separately by the client.

#### Benefits:

- Lower brokerage cost per order.
- Suitable for high-volume, independent traders.
- No hidden costs — pay only when you trade.

## **2. Premium Segment (Luxury Broking):**

Designed for clients who value personalised support and premium services. A dedicated Relationship Manager (RM) is assigned to assist with all trading and investment needs.

Charges: 0.3% of the trade value per transaction for Equity Delivery.

Equity/Future Intraday: 0.03% of trade value.

Options: ₹30 per lot.

### **Benefits:**

- Dedicated RM to handle personalised requests and offer investment guidance.
- Multiple trading platform access.
- Additional conveniences such as zero call & trade charges, no auto-square off charges, and priority support.

### **Summary:**

The DIY Segment is best suited for experienced traders seeking low-cost execution, while the Premium Segment caters to investors who prefer personalised service and comprehensive support in exchange for a slightly higher brokerage fee.

## **SFM & CRM**

To manage Sales Force Management (SFM) and Customer Relationship Management (CRM), Jainam Broking Limited uses:

### **1. In-House Software:**

- Custom-built to suit the company's operations and client service needs.
- Ensures data security and smooth integration with internal systems.
- Allows flexibility to add or modify features as per business requirements.

### **2. Zoho:**

- A widely used CRM platform to track leads, manage customer interactions, and monitor sales activities.
- Provides detailed analytics, automation tools, and real-time updates to improve customer service and sales efficiency.

Using both in-house software and Zoho helps Jainam Broking Limited maintain strong client relationships, streamline sales processes, and deliver better customer experiences.



## **CHAPTER 5**

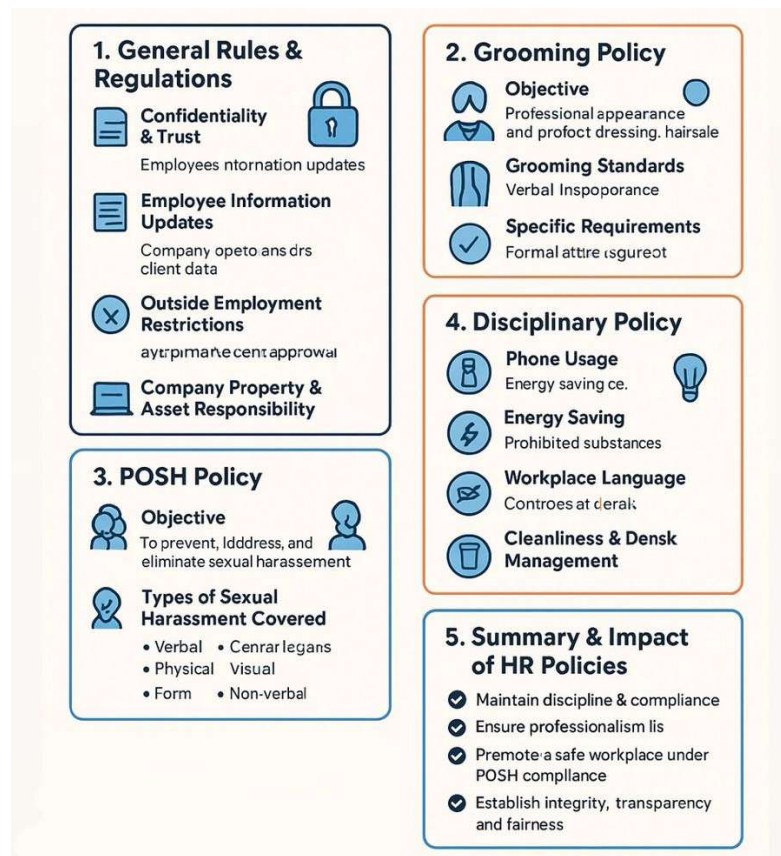
### **HUMAN RESOURCE DEPARTMENT**

## NUMBER OF EMPLOYEES

- 880 + (including all the branches)

## HR POLICIES

The HR policies of the company are designed to establish a structured, disciplined, and professional work environment. These policies not only define acceptable standards of behaviour but also safeguard both the organization and employees by promoting fairness, transparency, and ethical practices. Below is a detailed outline of the company's HR policies:



## **General Rules & Regulations**

The company emphasizes discipline, compliance, and accountability to ensure smooth operations.

- **Confidentiality & Trust**

Employees are required to maintain the highest degree of confidentiality regarding company operations, client data, and proprietary information. Any breach of trust will be treated as misconduct and may lead to immediate termination. This safeguards sensitive financial and operational information.

- **Employee Information Updates**

Employees must inform HR of any change in personal details such as address, civil status, or identification documents. At the time of joining, employees must submit testimonials, experience certificates, relieving letters, latest salary slips, and passport (if applicable). This ensures HR records remain accurate and compliant with audit/regulatory requirements.

- **Outside Employment Restrictions**

Employees are prohibited from engaging in any other business, part-time, or honorary assignments in related field (financial service). They can work in other areas of interest with prior written approval from management. This prevents conflict of interest and ensures employee focus on company objectives.

- **Company Property & Asset Responsibility**

Employees are entrusted with company property such as laptops, systems, and office equipment. Any negligence, misuse, or loss will be recoverable from the employee and can lead to termination. This policy enforces accountability for safeguarding organizational assets.

- **Capital & Financial Market Certificates**

All mandatory certifications related to financial markets must be surrendered and retained by the company for compliance and audit purposes. These are returned upon separation.

- **Employee Trading Policy**

Employees can make investments in equity (delivery base only). However, they must notify managers and surveillance teams for any trading activity to avoid regulatory or compliance issues. Although, trading in derivatives market is strictly prohibited (intraday trading).

- **Communication Protocols**

Employees must use only official email IDs and chat systems (e.g., Rocket Chat). Sending unofficial emails or misusing company communication tools is strictly prohibited. This ensures data security and maintains professionalism.

- **Issue Reporting**

IT-related issues (PC, printer, headphones) → Report to IT Department.

Furniture/electronic issues → Report to Admin Department.

## **Grooming Policy**

Professional appearance reflects the company's culture and reputation. Grooming standards are therefore non-negotiable and mandatory.

- **Objective**

To establish a corporate culture where employees present themselves in a professional manner, enhancing the company's image before clients and stakeholders.

- **Grooming Standards**

- All employees must maintain proper dressing, hairstyle, and personal hygiene during working hours.
- Every employee must carry their official ID card at all times.
- Employees are required to wear formal and professional attire.

- **Specific Requirements**

- Formal Attire: Clean, professional, and corporate-standard clothing.
- Shoes: Formal, polished footwear is mandatory.
- Casual Dressing: Denim jeans or T-shirts are only permitted on Saturdays.

- **Applicability**

This policy is especially important for employees interacting with clients and external partners such as Branch Managers (BM), Relationship Managers (RM), Dealers, Customer Care staff, and Sub-Broker Development teams.

## **1. POSH Policy (Prevention of Sexual Harassment)**

The company is fully compliant with the Prevention of Sexual Harassment (POSH) Act. A safe and respectful workplace is a legal and moral obligation.

- **Objective**

To prevent, address, and eliminate sexual harassment at the workplace, ensuring equal opportunity and dignity for all employees.

- **Types of Sexual Harassment Covered:**

- **Verbal:** Inappropriate comments, jokes, or propositions.
- **Physical:** Unwanted physical contact or advances.
- **Visual:** Sharing or displaying offensive images, gestures, or content.
- **Non-Verbal:** Staring, gestures, or behavior that makes an employee uncomfortable.

- **Implementation**

- Awareness sessions and regular training for employees.
- A dedicated Internal Complaints Committee (ICC) & external help team to handle complaints confidentially.
- Zero-tolerance approach: strict action against proven cases.

## 2. Disciplinary Policy

To maintain workplace decorum and efficiency, the company has established clear disciplinary standards.

- **Phone Usage:** Personal phone calls are restricted. In emergencies, calls are permitted but must not exceed 5 minutes.
- **Energy Saving:** Employees must switch off fans, AC, and lights before leaving cabins or office premises.
- **Prohibited Substances:** Cigarettes, alcohol, gutkha, tobacco, and non-vegetarian food are strictly banned within office premises.
- **Workplace Language:** Use of abusive or offensive words is strictly prohibited.
- **Cleanliness & Desk Management:**
  - Employees must dispose of rough papers and waste in designated dustbins.
  - Desks should be cleaned at the end of each workday.
  - Food Policy: Lunch or dinner is not allowed at workstations. Only light snacks may be consumed at desks.
  - Monetary Transactions: Employees cannot engage in monetary transactions with colleagues, clients, or third parties within office premises to prevent conflicts and financial disputes.

### **3. NISM Policy**

The company supports employees in enhancing their professional skills by sponsoring NISM/CPE exams. The organization bears 100% of the exam fee for the first attempt. However, if the employee fails, the cost of re-attempts must be borne by the employee. For higher-level exams (VP and above), up to three attempts are allowed. Employees are required to submit their exam results to HR within 5 days. Those who clear the exam under company sponsorship must serve a minimum of one year with the organization from the date of certification, otherwise the exam fee will be recovered during full and final settlement. Employees on probation are not eligible for fee reimbursement, and the cost will be borne by them.

### **4. Summary & Impact of HR Policies**

These HR policies collectively aim to:

- Maintain discipline and compliance in daily operations.
- Ensure professionalism through grooming and conduct guidelines.
- Promote a safe and respectful workplace under POSH compliance.
- Encourage responsibility and accountability regarding company property and communication.
- Establish a culture of integrity, transparency, and fairness across all levels.

By enforcing these structured policies, the company ensures alignment between employee behavior and organizational goals, fostering a secure, ethical, and high-performance workplace environment.



# **JAINAM WORK VALUES**

## **1. Hold the Steering**

- Complete the work you take up. Don't leave it halfway.

## **2. Define & Refine**

- Be open to change and keep improving the way you work. Change is the only constant.

## **3. Staying Foolish and Hungry**

- Keep learning, stay curious, and never settle.

## **4. Intent & Attitude > Knowledge & Experience**

- Skills matter, but the right attitude and intent matter even more.

## **5. Think SOW Way (Sustainable – Out of the Box – Win-Win approach)**

- Work in a way that lasts, is creative, and benefits everyone.

## **6. Time is God**

- Value time, manage yourself well, and respect others' time too.

## **7. Invest in Team**

- Support your team, give them time, and grow together.

## **8. 450 Degree Approach**

- Always have a backup plan (Plan B) ready if the first one doesn't work.

## **9. Sensible Listening**

- Listen to understand, not just to reply. But to understand.

## **10. Conversations Mean Growth**

- Every discussion is for your own good, listen carefully and learn from it.

## **JAINAM WORK PLEDGE**

1. We deliver what is expected.
2. We are 100% responsible for Jainam's journey.
3. We accomplish what we commit.
4. We protect environment & maintain cleanliness.
5. We first listen before taking any stand and think before we start any work.
6. We always improvise our way of doing work using maximum automation.
7. We complete our task in most efficient and speedy manner.
8. We are coach able.
9. We follow 80:20 approach.
10. We always ask 'why' when any work is assigned.

**GCRT is the blood for Jainam's team!**

**[Gratitude – Transparent Communication – Respect – Trust]**

## TRAINING METHODOLOGY

Once employed, they are guided with resources and working of their role, which occurs on the onboarding day. And is assigned to the designated HOD. After Onboarding process, they provide 2 types of training “On the Job Training & Off the Job Training” which aids in employees’ skills and job profile. They keep training every month for new joiners.

### **On the Job Training:**

1. Induction Training (Company’s introduction, journey, values, mission, vision, HR policies, etc)

This helps in their day-to-day operations like, marking & checking attendance, monitor task assignment.

2. Technical training (software, coding, tech excel)
3. Product training (insurance, equity, mutual funds, derivatives, currency trading, commodities, IPO)
4. System Operations and Back-office training

### **Off the Job Training:**

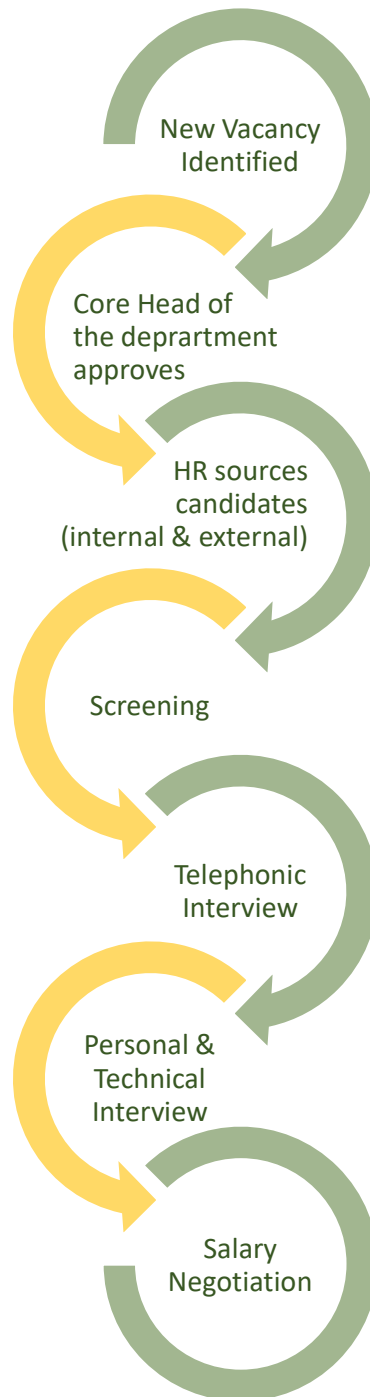
1. Skill-based training (sales training, cross selling skills, grooming)

This is mainly added to enhance the employee's skill set and knowledge of the relevant field.

Some trainings are mandatory while some can be optional as required by each individual. They have a dedicated department “Learning and Development” where everyone’s performance is measured and training according to the required skill set is given.

For 3 months there is a probation period for new employee, in which they observe overall working and behaviour of the employee. After 3 months they are hired permanently, if not conducive, employer can reject or employee are free to leave during 3 months period.

## RECRUITMENT AND SELECTION PROCESS



## EMPLOYEE SAFETY MECHANISMS

- Physical infrastructure – High ventilation (original plants)
- Mediclaim of ₹3 lakhs for all employees
- Fire safety

## PERFORMANCE APPRAISAL PROCESS



## **Performance Appraisal Process:**

Performance appraisal is the method of evaluating an employee's work performance against the set goals and standards of the organization. It helps in identifying strengths, weaknesses, training needs, and future growth opportunities.

### **Steps in the Process:**

**1. Setting Goals and Expectations:**

- At the beginning of the year, clear goals and targets are set for each employee.
- These goals are linked to the company's vision and departmental objectives.

**2. Continuous Monitoring & Feedback:**

- Managers keep track of employee performance throughout the year.
- Regular feedback is given so that employees know where they stand and can improve in time.

**3. Monthly/Quarterly Review:**

- Performance is measured using a Score Card (as shown in your policy).
- Employees are expected to achieve a minimum score (e.g., 3.5 each month).
- Top performers are identified for recognition and rewards.

**4. Annual Appraisal Discussion:**

- At the end of the financial year, the average score is calculated.
- A grade is assigned based on the overall yearly performance.
- One-on-one meetings are held between the manager and employee to discuss achievements, challenges, and future plans.

**5. Decision on Rewards & Growth:**

- Based on the grade, decisions are made about:
- Salary increments or bonus
- Promotion or transfer opportunities
- Training and development needs
- Long-term career path

**6. Feedback & Development Plan:**

- Employees receive constructive feedback on how to improve further.
- A development plan is created, which may include skill training, mentoring, or role expansion.

## **Benefits of Performance Appraisal:**

- Motivates employees to perform better.
- Identifies training needs to improve skills.
- Provides fair decisions on promotions and increments.
- Improves communication between management and employees.
- Helps in aligning individual goals with company objectives.

## REWARD & RECOGNITION CEREMONY

At Jainam, they believe that true growth happens when every individual feels valued for their contribution. To celebrate this spirit, the **Reward & Recognition Ceremony** is held every year, bringing together employees from across India under one roof.

### Vision Sharing

The event begins with the leadership team sharing Jainam's **next vision, future goals, and roadmap**. This sets the tone for aligning everyone with the company's direction before the celebrations begin.

### Celebrating Achievements

The ceremony is designed to honor those who have gone above and beyond in their roles. Awards are presented to:

- **Department Heads** – for their leadership and outstanding performance.
- **Best Employees (Department-wise)** – for exceptional service and being the best team player.
- **Branch Managers & Branches** – including recognition for the **Best Branch of the Year**.

The same spirit of recognition extends beyond employees to **sub-brokers, clients, and partners**, who are also awarded for their excellent performance and contributions across multiple criteria.

### A Day of Celebration & Togetherness

The ceremony is not just about awards—it is a day filled with joy, unity, and entertainment. Activities include:

- Fun fair & interactive games
- Dance performances & ramp walks
- Group singing sessions
- A delicious spread of food enjoyed together

This creates an atmosphere where employees, leaders, and partners come together as one Jainam family, celebrating success and building stronger bonds.

### **More Than Just Awards**

The Reward & Recognition Ceremony is a reminder that at Jainam, every individual matters. By appreciating excellence and fostering togetherness, the event strengthens the culture of **teamwork, inspiration, and shared success.**



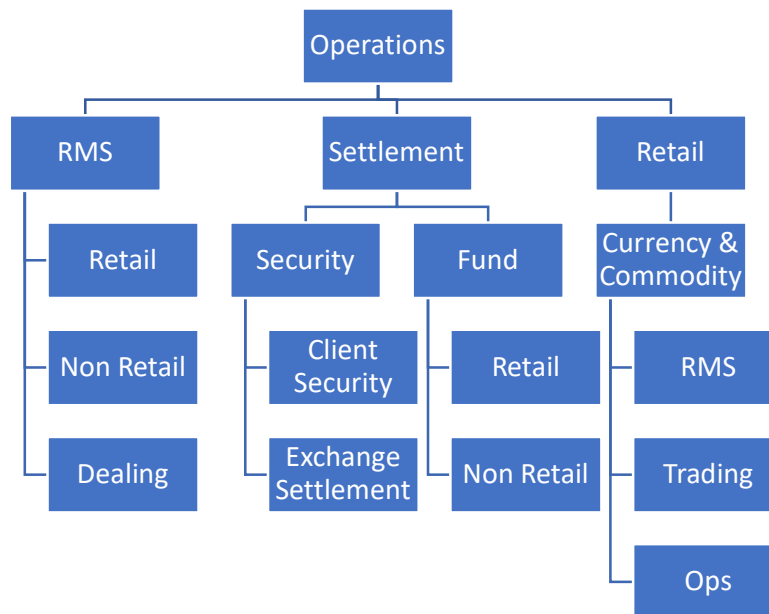
**CHAPTER 6**  
**RISK MANAGEMENT &**  
**SURVEILLANCE DEPARTMENT**

## CORE SERVICES

- Risk Management
- Solve Client's Queries
- Surveillance
- Leverage Management

## ROLE OF EMPLOYEES

The Risk Management and Surveillance Department at Jainam Broking Ltd is structured into two distinct verticals—Retail and F&O, to provide specialized oversight across client segments. This division allows for focused risk assessment, operational efficiency, and regulatory alignment tailored to the unique characteristics of each trading group.



For the F&O division, they handle specific software, and their roles are well defined. Manages leverage given and F&O Risk Management. They handle approx. 300 groups and many dealers under the groups itself. The focus is on scenario, P&L, and managing risk. It is to make sure that the groups under them do not exceed the margin limit given to them. Margin is set at 5 times and is applied to all. And if anyone exceeds it, they keep in touch with the head of the group to realign to their given limit amount. Although, if a client expects to use more margin, they provide it by charging a premium. F&O script consists of call option, put option and auction trading.

Another group, manages surveillance, solves client's query and handles several software and servers. If any client is facing any issues, handle and help them solve it as soon as possible. It is their main duty to be as helpful as they can and avoid unnecessary risk to occur. They rely on 4 major software to limit issues, clients dealing and finding what's their query upon. They also manage leverage allocation by setting and adjusting margin limits at the client level, ensuring alignment with both risk thresholds and regulatory guidelines. Banned scripts is a crucial part of their work, it refers to temporary restriction placed on trading in the F&O segment for specific stocks. This occurs when the combined open interest in all futures and options contracts for a particular stock reaches 95% VAR (value at risk) or more of the Market Wide Position Limit. During this ban period, traders are prohibited from creating new positions in that stock's F&O contracts but are still allowed to exit or reduce their existing positions. So, it is important they keep an eye on that and close it from their system such that groups under them don't trade under it. And when the exchange notifies to open back (only when it comes back to 80% VAR), making sure they open it in the morning before the market opens. Otherwise, a penalty is charged.

## RMS POLICY

By using Jainam's trading platform, you agree to follow these rules that help manage risk and ensure smooth trading.

### 1. Minimum Deposit Rules

- To start trading, a group must deposit at least **₹1 Cr.**
- If the group faces losses, the limit drops to **₹30 lakhs.**
- If funds go below **₹10 lakhs**, trading is limited to available money only (1x limit).

### 2. Circuit Limits & Protection

- Trades must follow movement limits (e.g., 10%, 15%, 20%) to control risk.
- If you trade in an instrument like Bank Nifty, you must hedge it using the **same** instrument (not Nifty).
- Only **executed trades** (not pending ones) count for risk protection.
- Margin requirements are based on what the exchange sets (like 17% for Reliance, 40% for Idea).

### 3. Open Interest Control

- Some instruments like Midcap Nifty or Fin Nifty are blocked to avoid excessive risk.

### 4. Margin Use in One Script

- You can't use all your margin on just one stock; spread it across trades.
- At **15% loss**, you'll get a warning.
- At **20%+ loss**, your trading limit is reduced based on this scale:

| MTM Loss | Limit = (Deposit - Loss) × Factor |
|----------|-----------------------------------|
| 20%      | 80% × 5                           |
| 30%      | 70% × 5                           |
| 40%      | 60% × 4                           |
| 50%      | 50% × 3                           |
| 60%      | 40% × 2                           |
| 70%      | 30% × 1                           |

## 6. Adding Funds

- To cover losses, use **NEFT, RTGS, or online payment**. Cheques count only after they clear.

## 7. Stop-Loss

- Stop-loss orders are **not** considered for risk calculation.
- If a loss is big, your position will be force-closed.

## 8. Follow RMS Rules

- All trades must follow system rules:

**OTR (Order-to-Trade Ratio)** and **PNC (Persistent Noise Creators)** policies are enforced to avoid system misuse and market noise.

## 9. No Over-Margin

You must have enough money before opening any trade. No borrowing margins allowed.

## 10. Trade Responsibility

Group leaders are responsible for their trades. The company won't resolve group disputes.

## 11. Changes to Rules

Jainam Broking can change rules anytime due to market conditions or regulations.

## 12. What You Can Trade

Only **F&O listed stocks** are allowed for Delta traders to ensure safer trading.

## SOFTWARE USED

### RMS Department (F&O)

- SmartRMS (inbuilt software of Jainam)

- **N Prime (4 Servers)**

They use *nPrime* to monitor real-time risk, P&L, and margin utilization across asset classes. It helps in tracking exposure, generating alerts for breaches, and performing scenario analysis to test portfolio impacts.

- **Greek Soft RMS**

They use *Greek RMS* for live monitoring of Greeks (delta, gamma, etc.), MTM calculations, and margin requirements. It also provides “what-if” analysis and auto-alerts for risk breaches and fund utilization.

### Surveillance Department

- **ODIN**

They use *ODIN* for placing trades and basic surveillance. It integrates with plugins to track unusual trading patterns and generate compliance alerts.

- **Symphony**

They use *Symphony* for trade execution and real-time monitoring. It helps identify off-limit trades, position limits, and client-level surveillance issues.

- **Multitrade**

They use *Multitrade* to monitor trades across multiple brokers. It’s useful for checking order flow, flagging suspicious activity, and consolidating surveillance data.

- **Greek (Trading Platform)**

They use *Greek* for algo execution, spread trading, and risk alerts. It supports multi-leg strategies and provides real-time auto square-off for risk control.

- **Convex**

They use *Convex* for advanced surveillance and compliance checks. It helps in pattern detection, regulatory analytics, and reviewing large volumes of trading data efficiently.

# QUALITY MAINTENANCE

Let's break it with the understanding of 3Ms,

## 1. Manpower

They rely on skilled traders, risk managers, and compliance officers who operate platforms like **ODIN**, **Symphony**, and **nPrime**.

- Staff are trained to handle real-time risk alerts, trade surveillance, and margin management.
- Prompt action by the team ensures client safety and regulatory compliance.

**Example:** Risk teams use Greek Soft RMS to monitor MTM and Greeks, while surveillance teams use ODIN or Convex to track abnormal trade patterns.

## 2. Method (Processes)

They follow well-defined SOPs for trade execution, risk checks, client onboarding, and compliance reporting.

- Systems like *nPrime* and *Greek RMS* help implement these methods consistently across clients and trades.
- Escalation and alert-handling workflows are in place to prevent breaches.

**Example:** When margin limits are breached, *nPrime* auto-triggers alerts and teams follow escalation protocols.

## 3. Machine (Tools/Technology)

The firm uses advanced tools such as **ODIN**, **Symphony**, **Greek**, **Multitrade**, and **Convex** for trading, monitoring, and surveillance.

- These tools ensure real-time data flow, automation, and high-speed execution.
- Helps in managing risk efficiently even during high market volatility.

**Example:** Symphony XTS handles large trade volumes with low latency; Convex helps detect unusual activity for compliance.

**CHAPTER 7**  
**WEALTH GUARDIAN DEPARTMENT**



## **CORE SERVICES**

(Jainam only acts as a distributor for respective services, from client's demanded AMCs, etc.)

- Mutual Funds
- Insurance (Both General and Life)
- Debt Segment
- Unlisted Shares
- RIA (Registered Investment Advisor)
- PMS (Portfolio Management Services)
- AIF (Alternative Investment Fund)

## **SUPPLEMENTARY SERVICES**

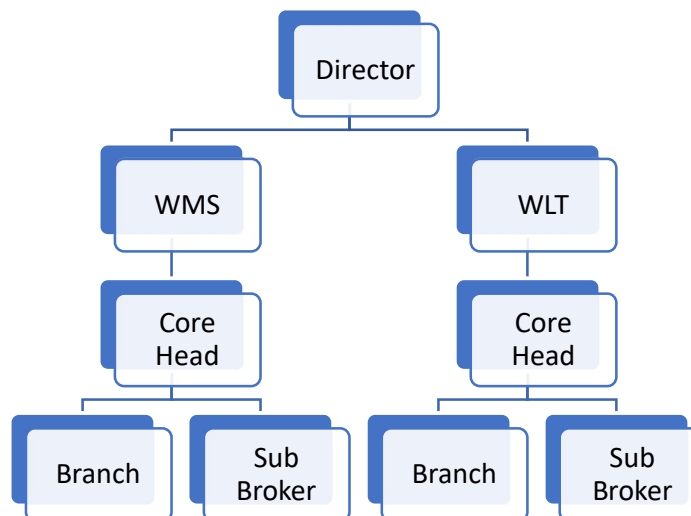
- IPO Bidding for Jainam's clients and platform Management
- Bonds
- Government Securities

## DEPARTMENT OVERVIEW

The Wealth Guardian Department at Jainam Broking Limited serves as a comprehensive hub for investment distribution and wealth management solutions. Its primary role is to help clients grow, protect, and diversify their wealth across multiple asset classes while ensuring seamless execution and regulatory compliance. Acting purely as a distributor, the department offers products such as mutual funds, bonds, insurance, PMS, unlisted shares, and government securities, sourced from reputed AMCs, issuers, and financial institutions. By integrating digital platforms like Galaxy.jainam.in, Polaris.jainam.in, and IPO.jainam.in, the department enables clients to invest, track, and manage their portfolios with ease, ensuring a secure, transparent, and hassle-free experience.

They charge commission fees every six months from the clients, depending upon the AMC's rate (1.5%, 2.5%, etc). Mostly, all the coordination done with the fund manager is handled by the branch manager. Yet in rare cases with huge amount, the clients wish to contact the fund manager. Nevertheless, the team contacts clients every now and then, or any such movement is occurred in the market. This is crucial as it maintains client relationships.

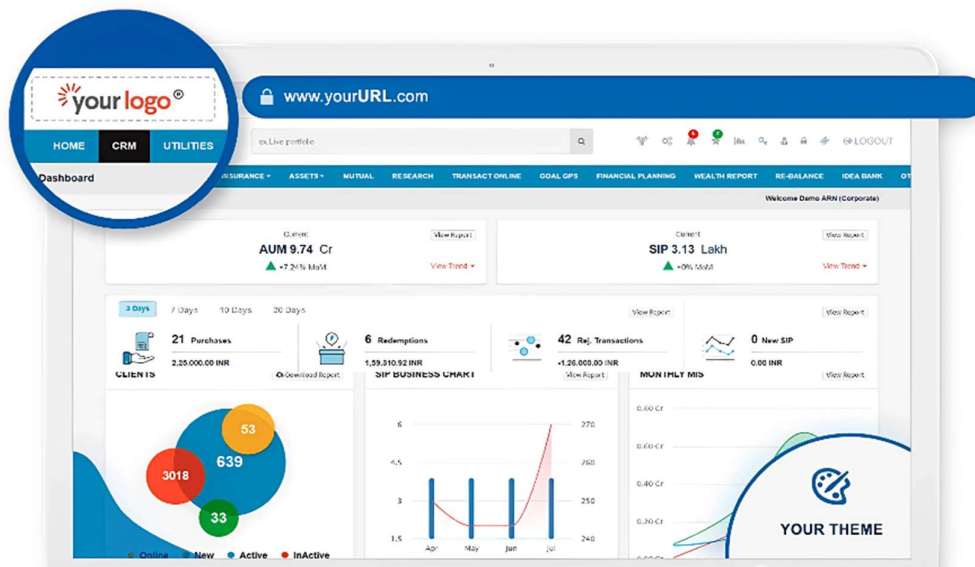
## WORKFLOW



## SOFTWARE's USED

### 1. Wealth Elite:

We use Wealth Elite to give our clients a clear, real-time view of their investment holdings. From our side, it helps us quickly access client portfolios, check asset allocation, track valuations, and pull up transaction histories whenever needed. This makes it easier to answer client queries on the spot and provide updates without delays.



### 2. Money to Management (M2M):

M2M is the platform we rely on to manage payouts to our channel partners. After a client's transaction is recorded, the system automatically calculates the commission based on the partner's agreement. We monitor these records, verify the calculations, and process payouts on schedule, ensuring accuracy and transparency in partner settlements.

### 3. Smart MF (In-house – Data Entry):

Smart MF is our in-house mutual fund management tool. We use it to enter client transactions, whether it's a new SIP, a redemption, or a switch request. The software syncs with AMC and RTA systems, so our entries are updated in real time and reduce the chances of manual error.

#### **4. Microsoft Excel:**

While the main data is handled in our software systems, we use Excel for custom reporting and analysis. It helps us compile data from multiple sources, prepare MIS reports, and run performance comparisons for clients. Excel is also our go-to tool for creating tailored presentations or portfolio summaries when required.

#### **How they manage it all together**

In their daily work, these tools connect seamlessly, they enter and process transactions in Smart MF, monitor and manage client portfolios through Wealth Elite, handle partner payouts in M2M, and use Excel for in-depth analysis and reporting. This combination ensures smooth operations, minimal errors, and quick responses to client needs.

## DISTRIBUTION PLATFORM

### 1. Galaxy.jainam.in (Mutual Funds Platform):

Galaxy is Jainam's dedicated online portal for mutual fund investments, providing clients with a dashboard to invest, track, and manage their portfolios.

It offers various categories for easy selection, including:

- |                    |                  |
|--------------------|------------------|
| ✧ High Return      | ✧ Small Cap      |
| ✧ ELSS – Tax Saver | ✧ Index Fund     |
| ✧ Flexi Funds      | ✧ Thematic Funds |
| ✧ Large Cap        | ✧ Liquid Funds   |

The platform ensures a 100% secure investment process, offers a hassle-free investment experience, and enables clients to track their portfolio in real time.

### 2. IPO.jainam.in (IPO Application Platform):

IPO is Jainam's in-house platform that enables clients to apply for Initial Public Offerings through an easy, paperless process.

It offers:

- ✧ Live updates on upcoming and ongoing IPOs.
- ✧ ASBA-compliant (Application Supported by Blocked Amount) online application process linked with the client's bank account.
- ✧ Application tracking and allotment status.

This ensures that clients can participate in public issues conveniently without the need for physical forms.

### 3. Polaris.jainam.in (Bonds Platform):

Polaris is Jainam's bond investment portal, offering clients access to corporate bonds, government securities, and NCDs through a seamless online process.

Key benefits include:

- ✧ Client's number special trust account number display
- ✧ Easy account opening & buying process
- ✧ No transaction cost
- ✧ No brokerage
- ✧ Transparent dealing
- ✧ Years of experience in the field

This platform helps clients diversify their portfolios with fixed-income products in a simplified and compliant manner.



By integrating these portals into daily operations, the Wealth Guardian Department ensures faster execution, better accessibility, and enhanced client satisfaction while maintaining regulatory compliance.

## **CHAPTER 8**

## **CONCLUSION**

This project offered a comprehensive exploration of India's financial services sector, its structural dynamics, and the evolving role of technology in shaping competitive advantage. Through the case study of Jainam Broking Limited, the research highlighted how a well-integrated business model—combining diversified service offerings, proprietary technology platforms, and client-focused strategies—can position a firm strongly in an increasingly digital and regulated environment.

Jainam's strengths lie in its dominance in institutional F&O trading, expansion into wealth and IPO advisory, and the use of advanced tools such as ERPNext, nPrime, Wealth Elite, and in-house solutions like Smart RMS. These systems streamline finance, risk, and client servicing functions while ensuring compliance and operational efficiency. The company's branch network and digital portals like Galaxy, Polaris, and IPO.jainam.in demonstrate its ability to serve clients across geographies and asset classes.

Sectoral insights indicate that India's financial industry is supported by robust regulation, rapid fintech adoption, and rising investor participation. However, challenges remain—cybersecurity risks, regulatory complexity, and dependency on market cycles require proactive risk management. Jainam's high leverage, while enabling growth, underscores the need for strong liquidity buffers and sustainable cash flow management.

Financial analysis during FY24 revealed impressive profitability, a 23.5% ROE, a 36% ROCE, and efficient receivables management. Yet, the reliance on market-driven revenues and external funding calls for strategic diversification and enhanced resilience planning.

This internship bridged the gap between academic learning and industry application, providing hands-on exposure to financial operations, bookkeeping, compliance frameworks, and wealth management practices. Observing Jainam's approach reaffirmed the importance of technology-led efficiency, client trust, and adaptive strategies in the brokerage industry.

In conclusion, Jainam Broking Limited exemplifies how a forward-looking financial services firm can balance innovation with compliance, delivering value to stakeholders while navigating a competitive, fast-evolving market landscape.



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